IFRS 9 Week 3

Big picture: Basel, IFRS 9, and CECL

These three frameworks are often mixed together, but they serve different jobs inside a bank.

IFRS 9 is about provisioning — setting aside money for expected losses. Basel is about capital adequacy — holding capital for unexpected losses. The two frameworks are related, but they solve different problems. CECL is the US GAAP counterpart discussed in the module.

Basel is about capital.

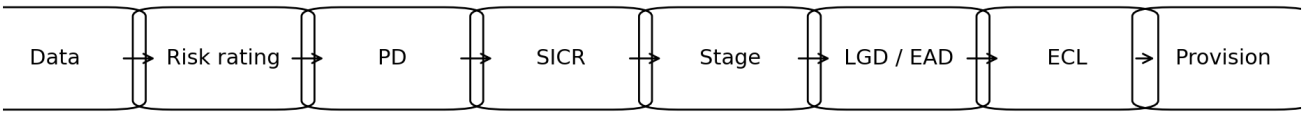
IFRS 9 is about provisioning.

CECL is the US expected-loss provisioning approach.

Framework	Main purpose	Simple idea
Basel	Capital adequacy	How much capital should the bank hold for unexpected loss?
IFRS 9	Provisioning	How much expected credit loss should the bank recognize now?
CECL	US provisioning	The US counterpart in the expected-loss world.

Analogy

Think of Basel as the safety helmet, IFRS 9 as the insurance for likely damage, and CECL as the US version of the insurance logic.
IFRS 9 is the bank's rainy-day fund for losses that are expected to happen. Basel is the stronger wall that protects the bank when something worse than expected happens.



End-to-end logic for IFRS 9 in CIB

The big picture in CIB

In Corporate and Institutional Banking, IFRS 9 is not mainly about missed EMIs. It is about whether a corporate borrower is getting weaker, whether its default risk has increased, and how much loss the bank should recognise early through provisions.

The framework is the same as in retail, but the signals are different. In CIB, the bank watches internal risk ratings, covenant performance, financial ratios, account conduct, restructuring requests, and credit committee decisions.

Plain-English idea

Retail asks: 'Has the borrower missed payments?'

CIB asks: 'Has this corporate name become materially riskier compared with when we first booked it?'

Core mapping: Risk Rating -> PD -> Stage -> ECL

Step	What it means	CIB example	Why it matters
Risk rating	Internal view of borrower strength	BBB / BB / B grade	Feeds probability of default
PD	Likelihood of default over a period	12-month PD or lifetime PD	Measures credit risk numerically
Stage	IFRS 9 risk bucket	Stage 1 / 2 / 3	Decides the ECL horizon
ECL	Expected credit loss	PD x LGD x EAD	Becomes the provision

2. Which assets are inside the IFRS 9 impairment world

Not every asset is treated the same way. The key first step is to identify whether the instrument is in amortized cost, FVOCI, or FVTPL.

Asset bucket	IFRS 9 treatment	Learning point
Amortized cost	In scope for ECL	Most loan-loss provisioning work sits here.
FVOCI	In scope for ECL	Fair value changes exist, but credit loss still matters.
FVTPL	Outside impairment model	Measured through profit and loss, so the impairment story is different.

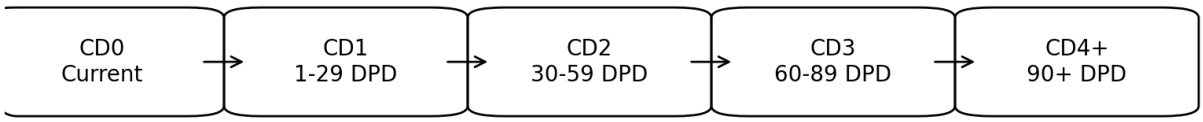
SPPI means solely payments of principal and interest. It is the cash-flow test that helps decide whether the asset belongs in the amortized cost / FVOCI family.

Analogy

SPPI is like checking whether a loan behaves like a plain vanilla loan or whether it has extra features that change the repayment nature.

3. Delinquency, DPD, and the bucket idea

Delinquency starts when a borrower misses a contractual payment date. DPD means days past due. The bucket idea is just a practical way of grouping lateness.



Delinquency buckets show whether payment delay is temporary or worsening

A bank uses these buckets to understand whether the delay is short-term noise or the start of a deeper credit problem.

Analogy

If a child misses one homework deadline, that is a delay. If the missed deadlines keep piling up, the teacher starts worrying about the student's discipline. DPD works the same way for credit behavior.

4. Roll rate analysis

Roll rate analysis tracks how balances move from one bucket to another. It helps the bank see where balances recover, where they stay stuck, and where they keep rolling forward.

Movement	What it means	Why it matters
CD0 -> CD1	A current account becomes slightly late	Early warning
CD1 -> CD2	The delay is getting worse	Credit stress is building
CD2 -> CD3	Balances are sticking in delinquency	Useful for bad-definition thinking

Analogy

Roll rate is like watching cars move through toll booths. If more and more cars keep entering the wrong lane and never return, that lane has a serious problem.

5. Delinquency, default, impairment, charge-off

These words are related, but they are not identical. Delinquency means late payment. Default means the bank believes the borrower has crossed a serious failure point. Impairment is the accounting view that expected loss has become material enough to require heavier provisioning.

Term	Plain meaning	Banking implication
Delinquency	Payment has been missed	The borrower may still cure
Default	Serious credit failure	Recovery becomes uncertain
Impairment	Credit loss is now expected	Provisioning becomes more conservative
Charge-off	Policy-driven removal from active book	Collections / recovery may continue

Analogy

Delinquency is being late. Default is the relationship turning bad. Impairment is the accountant saying the loss has to be recognized properly.

Default vs impairment vs delinquency

Term	Simple meaning	CIB interpretation
Delinquency	A payment is overdue	A contractual payment, interest, or principal is past due
Default	The borrower is unlikely to repay or has crossed a hard default rule	May involve insolvency, bankruptcy, major breach, restructuring, or severe past due
Impairment	The exposure is credit impaired	The bank believes recovery is materially weakened and Stage 3 applies

In practice, delinquency is one possible signal, default is the deeper credit event, and impairment is the accounting conclusion that follows the bank's policy and judgement.

In CIB, an exposure can be stressed long before it is technically past due.

That is why internal rating migration and committee judgement are often more important than a simple days-past-due count.

6. Staging logic

Staging is the engine of IFRS 9.

Stage 1 means the borrower is performing normally.

Stage 2 means credit risk has increased significantly.

Stage 3 means the exposure is impaired or default-like.

Borrower can move forward or cure back depending on policy and evidence

Stage	Meaning	ECL horizon
Stage 1	No significant increase in credit risk	12-month ECL
Stage 2	SICR triggered	Lifetime ECL
Stage 3	Impaired / default-like	Lifetime ECL with impairment focus

The staging logic in one simple framework

Stage 1 means the account is performing and has not shown a significant increase in credit risk since origination or since the last staging reset. For Stage 1, the bank books 12-month expected credit loss.

Stage 2 means the account is still alive, but credit risk has increased significantly. The bank now books lifetime expected credit loss because the borrower has moved into a higher-risk zone.

Stage 3 means the account is credit impaired or defaulted. At this point the borrower is no longer treated as a normal performing exposure, and the impairment is assessed much more aggressively.

Think of it like this

Stage 1 = healthy borrower

Stage 2 = borrower showing warning signs

Stage 3 = borrower has crossed into default / impairment

7. SICR: significant increase in credit risk

SICR is the bridge from Stage 1 to Stage 2. A common way to think about it is to compare the current behavioral PD with the PD at origination.

SICR lens	What it asks	Why it matters
Absolute threshold	Has PD moved by a meaningful amount?	Useful when risk levels are comparable
Relative threshold	Has PD moved by a meaningful percentage?	Useful when starting PDs vary a lot
Backstop rule	Has the borrower crossed a hard warning point?	Prevents obvious stress from being missed

Analogy

The borrower is still walking, but now the pace is slowing and the breathing is heavier. That is not default yet, but it is no longer healthy either.

In CIB, SICR is often influenced by rating downgrade, covenant breach, restructuring, watchlist status, sector weakness, and management judgment. It is not only about a missed payment.

SICR stands for Significant Increase in Credit Risk. In CIB, it usually does not come from a single missed instalment.

It is often inferred from a combination of rating downgrade, weakening financials, covenant stress, late information submission, increased utilisation, negative industry trends, or a credit committee concern.

The key idea is comparison.

The bank compares the borrower's current risk position with the position at origination.

If the current position is materially worse, the account may move from Stage 1 to Stage 2.

This is why CIB staging is judgement-heavy.

Two borrowers can both still be paying on time, but one may already be moving into Stage 2 because the business has deteriorated faster.

Absolute vs relative threshold

Absolute view: 'Has the rating fallen below a bank-defined cut-off?'

Relative view: 'Has the current PD moved sharply above the origination PD?'

Backstop view: 'Has the exposure crossed a hard warning rule such as 30 DPD or another policy trigger?'

8. Expected credit loss: PD, LGD, and EAD

The simplest formula is ECL = PD x LGD x EAD, with discounting and scenario weighting where relevant. PD is the chance of default, LGD is the share of loss if default happens, and EAD is the exposure outstanding when default happens.

Component	Meaning	Example
PD	Probability of default	Chance the borrower fails in the chosen horizon
LGD	Loss given default	How much is lost after collateral and recoveries
EAD	Exposure at default	How much money is at risk when the event happens

Analogy

PD tells you whether the roof might leak. LGD tells you how much damage the leak causes. EAD tells you how much furniture is under the roof.

Discounting matters because a loss that is expected one year later is not the same as a loss today. The bank therefore brings future loss back to present value.

Why the formula matters

A low PD borrower can still create large ECL if EAD is large.

A high PD borrower can still create moderate ECL if collateral reduces LGD.

A long-dated exposure can create higher lifetime ECL because risk has more time to build.

CIB-specific mapping: Risk Rating -> PD -> Stage -> ECL

In corporate and institutional banking, the workflow usually starts with the internal risk rating. That rating maps to PD. The PD then helps identify SICR, which drives the stage. Stage chooses the ECL horizon.

Risk-rating view	Typical banking interpretation	IFRS 9 direction
Strong rating	Low default risk	Usually Stage 1
Rating weakens	Risk has increased	Possible Stage 2
Default / workout	Serious credit failure	Stage 3 likely

Analogy

The rating is like a doctor’s vital sign reading. PD is the risk estimate. Stage is the diagnosis. ECL is the financial impact of the diagnosis.

10. Corporate borrower example

Imagine ABC Engineering Ltd. At origination it has a healthy rating, a low PD, and Stage 1 status. A few months later it misses an interest payment, submits delayed financials, and breaches a covenant.

The credit committee reviews the case and downgrades the internal rating. That rating movement pushes the PD higher. If the deterioration is judged significant, the account moves into Stage 2 and lifetime ECL becomes relevant.

Event	What the bank sees	Possible stage effect
Origination	Healthy rating and low risk	Stage 1
Covenant breach	Credit quality is weakening	SICR signal
Watchlist / downgrade	Deterioration is confirmed	Stage 2 likely
Workout / default evidence	Serious recovery concern	Stage 3 possible

11. Credit committee judgment and governance

CIB IFRS 9 is not only model-driven. Credit committee decisions can trigger watchlist placement, rating downgrade, restructuring approval, or a confirmed belief that the stress is temporary.

Committee action	What it means	Why it matters
Rating downgrade	Higher risk view	Can trigger SICR
Watchlist placement	Formal early warning	Supports closer monitoring
Restructuring	Borrower needs relief	May push the exposure to Stage 2 or Stage 3
Temporary forbearance accepted	Problem may be short-lived	May avoid over-staging if evidence is strong

Analogy

The model is the map, but the credit committee is the navigator. If the road is blocked, the navigator decides whether to reroute or stop.

12. Macro-economic layer

IFRS 9 is forward-looking. That means the bank should not only look at what already happened. It also needs to think about how the future environment may affect borrower behavior.

Macro factor	Possible effect	Why it matters
Interest rates	Debt service burden rises	PD may increase
Industry slowdown	Revenue pressure	Borrowers may weaken together
Liquidity stress	Refinancing becomes harder	Stages may move faster
Currency or commodity shock	Margins are squeezed	Recovery quality may fall

13. Worked ECL example

Suppose a corporate borrower has a 50 million exposure.

The current stage is Stage 2. The lifetime PD is 18 percent, the LGD is 35 percent, and the EAD is 50 million.

ECL = 50,000,000 x 18% x 35% = 3,150,000.

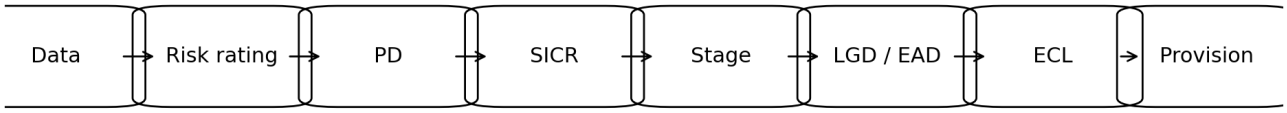
That is the gross expected loss before any further scenario or discounting adjustments.

Item	Value	Meaning
EAD	50,000,000	Exposure at default
PD	18%	Lifetime chance of default
LGD	35%	Loss severity after recovery
ECL	3,150,000	Expected credit loss

Analogy

If there are 100 similar baskets and 18 are expected to fail, and if each failure loses about a third of the basket value, the expected loss is the product of those two ideas.

14. End-to-end flow



End-to-end logic for IFRS 9 in CIB

The full logic can be remembered as one chain: data feeds the rating system, rating feeds PD, PD helps determine SICR, stage chooses the loss horizon, LGD and EAD turn the risk into money, and ECL becomes the provision.